

in 1–3-year securities is a common practice. Over time, the effect of proper cash management can be quite large, or at least it has been in the past.

I am sure by now that many readers have been wondering why I have barely mentioned the effects of interest income up until now. This is, after all, a huge factor for managed-futures returns and it can have an extremely large impact on overall results. Well, the reason is that this has been a major factor in the past but there is nothing to indicate that it will remain an important factor in the future, at least not anywhere near as important as it was in the 1980s and 1990s. The truth is that a significant part of the returns from many managed-futures strategies in the past 30 years has simply been free money from the government and this is a phenomenon we need to explore further.

Let's go back to our core strategy and look at the difference in returns if we keep all excess funds in cash versus allocating it sensibly to government securities. I make the simplified but reasonable assumption that on average we have 65% of the asset base in US debt instruments with an average duration of two years.

As both Figure 4.11 and Table 4.6 show, the effect of the interest on excess cash has gradually decreased and is currently (in 2022) very low. The impact of this factor is decreasing, because yields across the board have been decreasing for decades. There are two sides of that coin: on the one hand, we get less risk-free return on our excess cash, but at the same time the strategy has been long bond futures the whole time and making a killing on the same falling yields.



FIGURE 4.11 Effect of interest on excess capital.